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Foreword

This Economic Survey was prepared by Oliver Röhn and Federica De Pace, with contributions from Radek Dědeček and Marta Stará, under the supervision of Mame Fatou Diagne. Research assistance was provided by Corinne Chanteloup, administrative and editorial assistance by Robin HOUNG Lee and communication assistance by Francois Iglesias.

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Information about this and previous Surveys and more information about how Surveys are prepared is available at <https://www.oecd.org/en/topics/economic-surveys.html>.



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BASIC STATISTICS OF CZECHIA, 2023

(Numbers in parentheses refer to the OECD average)¹

LAND, PEOPLE AND ELECTORAL CYCLE					
Population (million)	10.9		Population density per km²	140.9	(39.2)
Under 15 (%)	15.8	(17.0)	Life expectancy at birth (years, 2022)	79.0	(79.6)
Over 65 (%)	20.8	(18.3)	Men (2022)	76.2	(77.0)
International migrant stock (% of population, 2020)	5.1	(13.9)	Women (2022)	82.0	(82.4)
Latest 5-year average growth (%)	0.5	(0.4)	Latest general election	October 2021	
ECONOMY					
Gross domestic product (GDP)			Value added shares (%)		
In current prices (billion USD)	343.7		Agriculture, forestry and fishing	1.8	(2.8)
In current prices (billion CZK)	7 626.6		Industry including construction	33.0	(27.2)
Latest 5-year average real growth (%)	1.0	(1.7)	Services	65.3	(70.0)
Per capita (thousand USD PPP)²	53.1	(59.0)			
GENERAL GOVERNMENT					
Per cent of GDP					
Expenditure	43.9	(42.9)	Gross financial debt (OECD: 2022)	48.6	(109.4)
Revenue	40.1	(38.1)	Net financial debt (OECD: 2022)	15.6	(66.6)
EXTERNAL ACCOUNTS					
Exchange rate (CZK per USD)	22.19		Main exports (% of total merchandise exports)		
PPP exchange rate (USA = 1)	13.21		Machinery and electronics	37.6	
In per cent of GDP			Transportation	21.5	
Exports of goods and services	69.1	(31.2)	Miscellaneous	8.1	
Imports of goods and services	64.0	(31.2)	Main imports (% of total merchandise imports)		
Current account balance	0.3	(-0.3)	Machinery and electronics	37.7	
Net international investment position	-13.3		Transportation	10.8	
			Metals	9.8	
LABOUR MARKET, SKILLS AND INNOVATION					
Employment rate (aged 15 and over, %)	58.4	(58.0)	Unemployment rate, Labour Force Survey (aged 15 and over, %)	2.6	(4.8)
Men	67.1	(65.5)	Youth (aged 15-24, %)	8.3	(10.6)
Women	50.2	(50.8)	Long-term unemployed (1 year and over, %)	0.7	(1.0)
Participation rate (aged 15 and over, %)	60.0	(60.9)	Tertiary educational attainment (aged 25-64, %)	27.0	(41.0)
Average hours worked per year	1 766	(1 742)	Gross domestic expenditure on R&D (% of GDP, 2021)	2.0	(2.9)
ENVIRONMENT					
Total primary energy supply per capita (toe,)	3.5	(3.7)	CO₂ emissions from fuel combustion per capita (tonnes)	7.5	(7.6)
Renewables (%)	12.5	(12.5)	Water abstractions per capita (1 000 m³, 2022)	0.1	
Exposure to air pollution (more than 10 µg/m³ of PM 2.5, % of population, 2020)	97.7	(56.5)	Municipal waste per capita (tonnes, 2021, OECD: 2022)	0.6	(0.5)
SOCIETY					
Income inequality (Gini coefficient, 2022, OECD: latest available)	0.249	(0.316)	Education outcomes (PISA 2022 score)		
Relative poverty rate (% , 2022)	6.2	(11.7)	Reading	489	(476)
Median disposable household income (thousand USD PPP, 2022, OECD: 2021)	27.6	(30.0)	Mathematics	487	(472)
Public and private spending (% of GDP)			Science	498	(485)
Health care	8.5	(9.2)	Share of women in parliament (%)	26.0	(32.8)
Pensions (2019)	8.5	(9.5)	Net official development assistance (% of GNI, 2022)	0.4	(0.4)
Education (total spending, 2020)	4.5	(5.1)			

1. The year is indicated in parenthesis if it deviates from the year in the main title of this table. Where the OECD aggregate is not provided in the source database, a simple OECD average of latest available data is calculated where data exist for at least 80% of member countries.

2. OECD aggregate refers to weighted average.

Source: Calculations based on data extracted from databases of the following organisations: OECD, International Energy Agency, International Labour Organisation, International Monetary Fund, United Nations, World Bank.



Executive summary

Key messages:

- Enhancing spending efficiency and addressing rising ageing costs are key to ensure long-run fiscal sustainability.
- Revitalising productivity growth and convergence requires boosting Czechia's innovation capacity and business dynamism.
- Accelerating policy action to replace coal and reduce the energy and emission-intensity of the buildings sector is needed to meet Czechia's climate targets.
- Addressing inequalities in education, increasing the quality and efficiency of schooling, and expanding possibilities to reskill and upskill workers throughout their careers are key to tackle skill shortages and provide equal opportunities for all.

Preparing for future challenges

Sustaining strong economic convergence in the face of future challenges, including population ageing as well as the green and digital transitions, requires building fiscal buffers and reprioritising spending, and shifting to a more knowledge-based and greener growth model.

In the three decades since joining the OECD, Czechia has made impressive strides towards OECD average living standards, thanks to its openness to trade and investment, stable institutional framework and well-educated population. Czechia has also maintained one of the lowest income inequality and poverty rates in the OECD, supported by high employment and well-developed social systems.

Policies need to address longer-term challenges. This includes ensuring long-term fiscal sustainability in the face of mounting spending pressures related to population ageing, an education system that provides equal opportunities for all and adaptable skills, strengthening the role of innovation and business dynamism as drivers of growth, while enhancing capacities to mitigate and adapt to climate change.

Returning to fiscal prudence and addressing longer-term fiscal challenges as economic growth strengthens

Economic growth is set to pick up in 2025 and 2026, but downside risks are elevated. Monetary policy restrictiveness should continue to gradually ease, contingent on underlying inflation pressures durably subsiding. Fiscal policy should continue to build buffers and prepare for longer-term challenges.

The economy returned to growth in 2024 (Figure 1), mostly driven by a rebound in private consumption. Robust real disposable income growth, easing financial conditions, a stronger use of EU funds and improving demand from trading partners will support a pick-up of growth in 2025 and 2026 (Table 1). The labour market will remain tight.

Risks are tilted to the downside. An increase in trade barriers or a more persistent slowdown among trade partners, especially Germany, would weigh on Czechia's export-oriented economy. Geopolitical tensions could lead to renewed global energy price increases and supply chain disruptions.

Monetary policy remains restrictive. The central bank has lowered the policy rates as headline inflation has fallen back close to the 2% target. However underlying inflationary pressures, especially for services, remain elevated.

The financial system has been resilient, but risks should be monitored closely. The high share of bank loans directed to residential and commercial real estate and the increasing exposure to foreign currency corporate loans create vulnerabilities. Authorities should stand ready to adjust macro-prudential policies to reduce risks.

Table 1. Real GDP growth is set to pick up

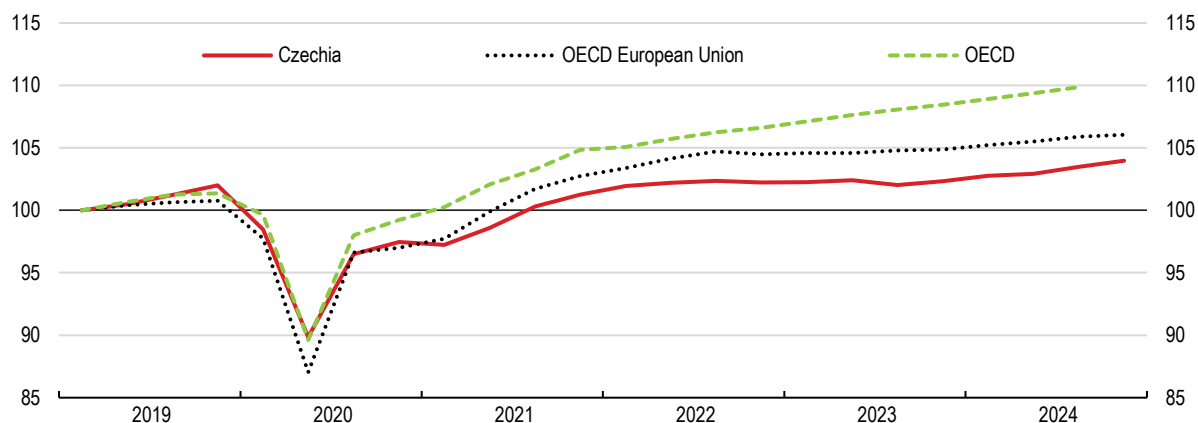
Annual growth rates, %, unless specified

	2024	2025	2026
Real GDP	1.0	2.1	2.5
Unemployment rate (% labour force)	2.6	2.7	2.5
Inflation (index of consumer prices)	2.4	2.3	2.0
Fiscal balance (% of GDP)	-2.8	-2.6	-1.9

Source: OECD Economic Outlook database.

Figure 1. The economy has returned to moderate growth

Real GDP growth, index 2019Q1 = 100



Source: OECD Economic Outlook database.

StatLink  <https://stat.link/6tcswx>

Fiscal consolidation should continue in the medium-term to rebuild fiscal buffers, prepare for long-term spending pressures and help support the disinflationary process. The authorities have appropriately started to consolidate public finances in 2024. Consolidation measures to meet the national and EU fiscal rules should be specified, while taking distributional effects into account.

Increasing the efficiency of the public administration can help to improve fiscal sustainability and raise the quality of services. Building capacity to regularly conduct spending reviews can help identify saving potential without harming outcomes but requires better access to data. Strengthening incentives for overly small municipalities to cooperate or merge can improve the provision of public services and boost investment at the local level.

Reforms have been enacted to improve the overall sustainability of the pension system and should be fully implemented. Changes include the reduction of pension benefit growth, the tightening of early retirement options and an increase in the statutory pension age. Linking the statutory pension age to gains in life expectancy would further dampen expenditure growth.

Revising family benefits would reduce disincentives for mothers with young children to return to the workplace. Employment rates of mothers with young children are very low, hampering career progression and contributing to the gender wage gap. Shortening long parental leave entitlements, shifting family cash benefits towards expanding access to high-quality and affordable pre-school facilities while enhancing the flexibility of work arrangements can help combine work and family obligations.

Boosting innovation and business dynamism

Productivity growth has slowed down significantly since the global financial crisis and has stalled since the pandemic, leaving a sizeable productivity gap with the OECD average. Boosting the innovation capacity and business dynamism can help revitalise productivity growth.

The research intensity and innovation capacity of the economy have improved but still lag many OECD peers. Better targeting business support for R&D to young and small firms and further developing capital markets can help overcome financing constraints. The transfer of

knowledge and technology from higher education and research institutes to firms can be further strengthened.

Business dynamism is relatively low hampering the diffusion of new technologies. Strengthening

the eco-system for start-ups, improving product market regulations and streamlining insolvency procedures is essential to facilitate the entry and scaling up of productive and innovative firms as well as the exit of unproductive firms.

Continuing efforts to strengthen the public integrity and anti-corruption framework can

improve the business environment. A law that introduces lobbying rules for the first time is forthcoming and should be accompanied by broadening and better monitoring post-employment rules, which cover the civil service and government only in limited cases, to avoid conflict-of-interest situations.

Transitioning to net-zero emissions

Czechia has significantly reduced greenhouse gas emissions over the past three decades, but the emissions- and energy-intensity of the economy remain high. Transitioning to net-zero emissions requires a cost-effective mitigation policy package together with measures to alleviate the impact on vulnerable communities and strengthen the climate adaptation framework.

Effective carbon prices are too low to reach environmental targets, especially in sectors outside the EU emission trading system. Large differences in carbon prices across sectors and activities mean that marginal abatement costs are not equalised, potentially increasing the cost of emission reductions.

The planned phasing out of coal from the energy mix by 2033 is imperative to get on track to net zero but requires accelerating the deployment of renewables, including by further simplifying permitting procedures. This would ensure energy security, especially until new nuclear capacity becomes available.

Despite progress, the residential building sector remains highly energy inefficient and

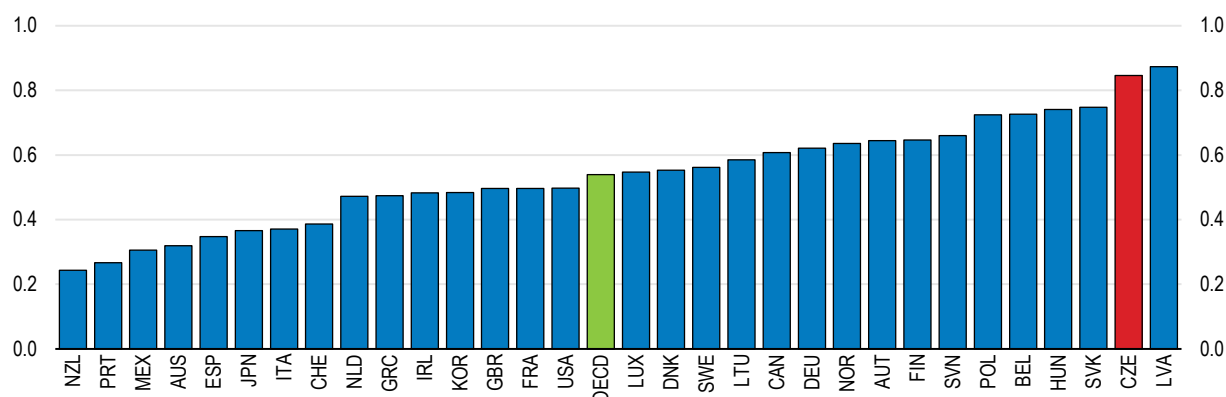
polluting. Implementing stricter regulations and targeted financial assistance to households most in need would help incentivise housing renovations. District heating systems need to be modernised and decarbonised.

The social impact of climate policies needs to be mitigated. The share of employment in high-polluting jobs is high, implying a substantial need to reskill and upskill workers.

Climate adaptation can be strengthened. Ensuring adequate capacity at the local level to plan and implement adaptation measures would enhance resilience to natural disasters, such as floods.

Figure 2. The residential sector is energy inefficient

Energy use intensity, total energy consumed per floor area (GJ/m²), residential sector, 2022 or latest



Note: Unweighted average for OECD.

Source: IEA (2024), IEA Energy end-uses and efficiency indicators database.

StatLink  <https://stat.link/hcu1e4>

Improving education and skills for all

School outcomes are strong overall, but have been declining among the most vulnerable. Moreover, skill shortages and mismatches pose a threat to productivity growth. Improving skills requires enhancing educational outcomes for all students by addressing inequalities and increasing the quality and efficiency of schooling, as well as expanding opportunities to reskill and upskill workers throughout their careers.

Expanding affordable, high-quality childcare capacity would have positive effects on children's future educational outcomes. This would be particularly beneficial to children from disadvantaged backgrounds, who are more likely to experience poor-quality early learning environments.

Socioeconomic background is related to students' educational choices and outcomes (Figure 3), and **disadvantaged students, including the Roma, are often clustered in certain schools.** Delaying school tracking and reducing disparities in quality across educational paths is essential to reduce inequality in education. Directing funding to schools with a high share of disadvantaged students to offer individualised support to children with special education needs can improve educational outcomes for all.

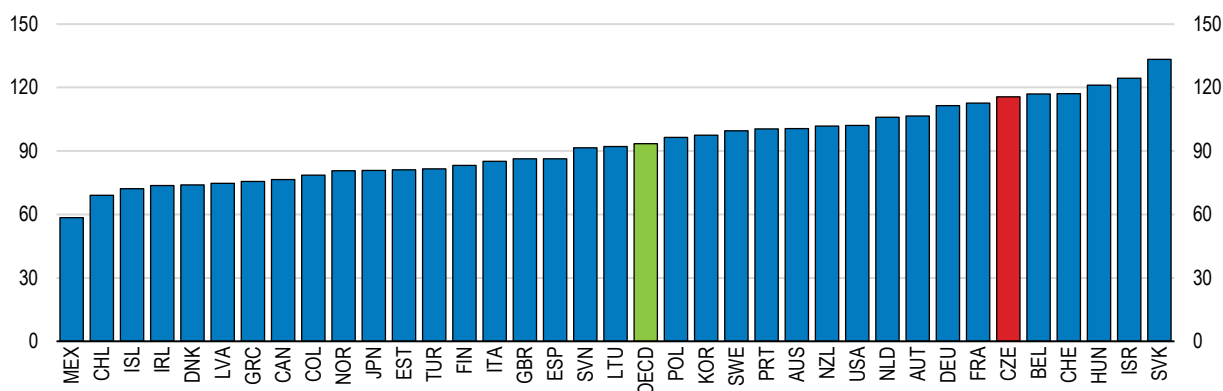
Teacher shortages, especially in rural areas and some scientific fields, along with a fragmented school network hamper school quality and efficiency. Improving teachers'

working conditions, including by offering diverse career paths, is crucial to make the profession more attractive. Transferring responsibilities for establishing and managing schools to communities of municipalities or municipalities with extended powers (i.e. municipalities that fulfil several administrative functions on behalf of smaller surrounding municipalities) and introducing rules on minimum school size would enhance school management, resource allocation, and students' performance.

Skill shortages and mismatches are severe. Reforming the VET system to reduce over-specialisation and promoting work-based learning would help to better align the skills of graduates with labour market needs. Providing grants and income-contingent loans to vulnerable students is necessary to increase tertiary education attainment. Expanding opportunities for reskilling and upskilling, through flexible, modular high-quality training programmes, would help make the workforce more adaptable to changing skill needs.

Figure 3. Student performance is strongly linked to socio-economic background

Difference in mathematics performance by national quarter of ESCS (top versus bottom quartile), PISA 2022



Note: Represents the simple difference in scores, not controlling for any other explaining factors. A socio-economically advantaged (disadvantaged) student is in the top (bottom) quarter of the PISA index of economic, social and cultural status (ESCS) in his or her own country/economy.

Source: OECD (2023), PISA 2022 Results (Volume I): The State of Learning and Equity in Education, PISA, OECD Publishing, Paris, <https://doi.org/10.1787/53f23881-en>.

StatLink  <https://stat.link/ujyhon>